STATUS REPORT

Lesotho: status report

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GOVERNANCE · FINANCE · ICT INFRASTRUCTURE · DPI · DIGITALISATION · TECHNOLOGY · CAPACITY · INCLUSION · DATA · GEOPOLITICS

Governance

Strategies, plans and policies

Lesotho's communications minister signed three foundational digital policies in June 2026 — a Broadband Infrastructure Sharing Policy, a Data Management Policy covering privacy, security and ethical use, and an AI Policy directed at responsible AI in health, education and public administration. Two months later the ministry began drafting a National AI Strategy and a Data Centre Blueprint together, at a five-day workshop in Maseru run with the United Nations in Lesotho, where Deputy Prime Minister Justice Nthomeng Majara argued that capabilities should be assessed and safeguards, infrastructure, policies and human capacity established before the country scales AI investment.

The standing instruments date from 2024. The National Digital Policy 2024–2035 is the national frame for equitable access to digital services, citizen-centred digital government and digital skills, and the National Digital Transformation Strategy 2024–2030 makes enterprise architecture, interoperability and data exchange a strategic priority under a digital government pillar, alongside broadband, universal access, digital payments and data protection. An Artificial Intelligence Policy and Implementation Plan was published as a 73-page second draft dated 21 January 2025. The regulator's own LCA Strategic Plan 2026–2029 makes universal and meaningful connectivity its top theme.

Gaps are named rather than filled. Officials told a national planning meeting on 8 May 2026 that the country has no policy guiding spatial data and proposed a National Spatial Development Infrastructure Policy to fill it. A two-day workshop opened on 26 August 2025 to develop a Digital Public Infrastructure Framework, the interoperability architecture identity, payments and data exchange are meant to sit inside.

The administrative machinery these plans rely on has been weakening. Lesotho scored 53.9 of 100 for overall governance in 2023, 21st of 54 African states, down 1.9 points and seven places since 2014 against a continental average that rose. It scores below that average on 42 of the index's 96 indicators, and declined on 51 of them over 2014–2023. Effective Administration, which measures the professionalism and capability of the civil service, fell 9.2 points to 45.4 of 100 and 34th place, while Public Administration is the third best-performing sub-category at 62.4 of 100 and 13th.

Legislation and regulation

Lesotho's cyber legislation was split in two after stakeholder consultation — a Cybercrime Bill carrying offences and penalties, a Cybersecurity Bill carrying institutions and the protection of critical digital infrastructure. The Cybercrime Bill was awaiting National Assembly approval in August 2026; the Cybersecurity Bill 2026 went to a second stakeholder consultation in September 2026, after its draft was circulated for review in August, proposing a

two-tier regulatory regime and the registration of cybersecurity professionals. It has had no dedicated cyber statute, a gap the government named itself when it warned the public in August 2025 about AI-generated deepfake videos impersonating King Letsie III and Prime Minister Matekane; the communications ministry's Principal Secretary tied rising AI-enabled threats to the stalled Bill at a meeting with the regulator on 13 January 2026. The unenacted 2022 electronic transactions Bill was revised as the Electronic Transactions and Communications Bill, 2026 and taken to a stakeholder validation workshop from 28 September 2026, the ministry stating that Lesotho has no legal framework for electronic contracts, signatures or records; it goes next to the Office of the Parliamentary Counsel. A Digital Government Act was still in drafting in 2025.

What is in force is older: the Communications Act 2012; the National Identity Cards Act 2011, commenced on 1 July 2013, which establishes the National Identity Register and mandates the card for access to services; the Data Protection Act 2012; the Payment Systems Act 2014 for interbank payments and electronic money; the Financial Consumer Protection Act 2022; and the Bureau of Statistics Act 2001.

The statute book moved further in 2026 than in the years before it. Legal Notice 25 of 2026, gazetted on 27 March 2026, gave the Lekuka VAT e-invoicing framework its legal basis. The Payment System Bill, 2025 reached second reading on 5 May 2026 and would replace the 2014 Act, bringing every payment-service provider including fintechs under one licensing law. A committee report on the electoral amendment bill tying voter registration and verification to the national identity card was adopted on 4 June 2026. A fourth Statistics Bill was in drafting as at December 2025, three earlier attempts to replace the 2001 Act having failed to reach enactment.

Regulation has been busier than legislation. The Lesotho Communications Authority issued the country's first satellite internet licence, a ten-year grant to Starlink on 14 April 2025, over a Vodacom appeal seeking a local shareholding requirement, and on 5 December 2025 found Vodacom Lesotho in breach of consumer-protection rules for restricting Top-Up Flexi airtime without the required 21 days' notice.

Data protection

Lesotho has had a data protection statute since 2012 and has never had a regulator to enforce it: the Act provides for a Data Protection Commission that has never been appointed or made operational, leaving its complaint-handling, compliance-audit and enforcement provisions unimplemented. The Data Protection Act, 2012 commenced on 22 February 2012, and its section 23 requires notification of security compromises to that Commission and to affected data subjects as soon as reasonably possible, with delay permitted only where the police or the Commission direct it for a criminal investigation. A Data Management Policy covering privacy, security and ethical use was among the three digital policies the communications minister signed in June 2026.

The national identity register is the largest holding of personal data and the least overseen. Third parties reach it through memoranda of understanding and fees set at the Director's discretion under section 6 of the National Identity Cards Act 2011; those agreements and the accompanying non-disclosure agreements are not published, and no purpose-limitation framework is publicly documented. The Act provides no identity-specific complaints, appeals or judicial-review mechanism, and no independent body oversees the register, so unresolved grievances fall back on the ordinary courts or the Ombudsman. Individuals have a statutory right to see and correct their record but must attend the registry in person, and nobody is told when their data is accessed or shared.

The duties that actually bite are sectoral. Section 43 of the Financial Consumer Protection Act 2022 makes financial institutions and payment service providers fully responsible for personal information and requires them to process it in line with the Data Protection Act, with stronger sector-specific safeguards prevailing and the Central Bank of

Lesotho empowered to impose administrative penalties. In telecommunications, SIM registration has been compulsory under regulations in operation since 24 June 2022; the regulator let the June 2023 deadline pass while it cleaned the data and set 31 January 2024 as the last day before unregistered cards would be cut off.

Regional collaboration

Lesotho was one of eight Southern African states sending ICT ministry, regulator, AI-structure and data-protection officials to a data-governance workshop in Harare in August 2026, run by UNESCO with Smart Africa and Zimbabwe's ICT ministry, where participants worked through UNESCO's Data Governance Toolkit and self-assessed towards a regional harmonisation roadmap that has not been published.

The country's clearest regional commitment is older and voluntary. Lesotho joined the 50-in-5 campaign in May 2024 as its fourteenth member, undertaking to implement safe, inclusive and interoperable digital public infrastructure within five years, and specifically to integrate civil registration and vital statistics with digital public infrastructure and upgrade the national identity card to a digital ID.

That five-year commitment runs to 2029.

Above it sits SADC, whose digital agenda for members rests on a draft Digital Transformation Strategy and Action Plan of 12 October 2022, aligned to RISDP 2020–30, the AU Digital Transformation Strategy 2030 and UN universal-connectivity targets. South Africa took the chairpersonship at the 46th Ordinary Summit in Durban on 17 August 2026, naming strengthening energy, water and digital security among its priorities, and the incoming chair had argued three days earlier that Southern Africa is "exporting data and importing intelligence" and that regional industrialisation must extend to computing capacity, connectivity and skills. None of Lesotho's border posts is among the five one-stop border posts prioritised for the chairship, against which the chair frames success as reduced crossing times.

Lesotho's own regional voice has been loudest on AI. Its country statement to the UN Global Dialogue on AI Governance of 7 July 2026 set out capacity building, AI-ready data, openness, interoperability and sector-led risk-based governance as the government's position, with the ministry's Principal Secretary Kanono Ramashamole arguing that developing nations must be "co-creators, not only consumers" of AI and naming fragmented data and weak governance as the domestic constraints. The foreign minister signed the founding agreement of the World Artificial Intelligence Cooperation Organization in Shanghai on 20 July 2026. The communications authority and Eswatini's regulator signed a memorandum providing for cybersecurity cooperation, including coordinated incident response, and exchange of information and resources (2026).

Standards

The standards Lesotho works to on data are regional and borrowed. The harmonisation exercise it is party to works from four existing instruments rather than a blank page — the African Union Data Policy Framework, the Smart Africa Data Governance Blueprint, the SADC Regional Data Strategy and UNESCO's Data Governance Toolkit. Across SADC there is still no harmonised eKYC standard and no shared consent-management framework, leaving localisation and legal-basis questions unresolved before any exchange architecture is chosen, and the regional telecommunications regulators' collaboration instrument, adopted in Malawi in April 2026, is voluntary and non-binding by its own terms.

Domestically the fullest published rulebook is the Central Bank's. It publishes the electronic funds transfer clearing rules, the MIACH rules, the Lesotho Wire rule book and the 2017 electronic payment instrument regulations as free downloads requiring no registration, and oversees payment and settlement systems under a National Payment System Oversight Framework published in 2018. Lesotho's 50-in-5 membership commits it to secure, inclusive and interoperable digital public infrastructure by 2028.

Assurance is thinner. The Office of the Auditor-General's Strategic Plan 2026–2031, launched on 8 August 2026, names expanded IT-focused specialised audits and the digitising of its own business processes among its priorities, without separately costed digital commitments or published milestone dates. No evaluation criteria have been published for the government's new digital service-identification pilot.

Public debate and participation in policymaking

Basotho's own view of free speech has fallen much faster than experts' view of it. The public perception of freedom of speech score dropped 17.7 points over 2014–2023 to 61.5 of 100 and 22nd of 54 African states, while the expert-assessed freedom of expression and belief measure remains one of the country's ten best scores at 87.5 of 100 and 7th of 54, down 4.1 points. Media freedom fell 14.0 points to 48.6 of 100 and 35th place over the same period, and digital freedom — censorship, shutdowns and digital rights — fell 8.6 points to 77.1 of 100, still 13th.

Consultation on digital policy happens, but its output is hard to follow: the three digital policies the minister signed were validated at a stakeholder exercise in 2025, and no adoption, publication or commencement date has been stated for any of them.

Public objection has been sharpest on licensing. Starlink's launch drew objections that a wholly foreign entity without a physical address in the country could enable surveillance, with the activist Kananelo Boloetse questioning the fairness of the regulatory treatment it received.

The constraint underneath all of it is what government publishes. Lesotho scores poorly on the disclosure and accessibility of public records, and accountability and transparency is its second worst-performing governance sub-category.

Finance

Financial sustainability

The African Development Fund loans behind Lesotho's e-government and tax-modernisation projects have left its budget: the 2025/26 budget carried LSL 62.2 million of ADF loan money for e-government and LSL 39.1 million for tax modernisation, and the 2026/27 estimates print none for either (2026/27), while the government's own e-government line stays at LSL 10.0 million, against LSL 9.9 million in 2025/26 (2026/27).

The IFMIS gains a LSL 41.8 million capital project of the state's own in 2026/27, beside LSL 39.6 million for running it (2026/27), for an upgrade from Epicor 10.2 to Epicor Kinetic that the finance ministry says will ensure continued vendor support and long-term sustainability. Software licences sit on the recurrent budget, LSL 5.75 million for crop services, LSL 4.6 million for immigration and LSL 1.1 million for the anti-corruption directorate (2026/27).

The digital lines of the 2026/27 budget come to LSL 941.2 million appropriated, against LSL 767.4 million in 2025/26, when LSL 101.2 million of it was African Development Fund loan money (2026/27).

The capital tables name each project's funder, and the World Bank-financed Public Sector Foundations for Service Delivery project carries LSL 116.5 million of IDA credit beside LSL 15.3 million of the government's own (2026/27); that credit closes in March 2028. The 2026/27 recurrent tables print no financing source against their digital lines (2026/27).

In 2024/25 the state's own tax-modernisation spending came to LSL 764,339 and its e-government spending to LSL 15.9 million (2024/25), against LSL 8.0 million and LSL 17.0 million proposed (2024/25).

What the state has in law is a connectivity fund: the Universal Service Fund, established under section 33 of the Communications Act 2012, finances telecommunications extension to unserved and underserved areas, and took over the UNDP-piloted Community Digital Inclusion Model in November 2025.

MoUs and other agreements

Lesotho's largest agreement commits no money: the binding Memorandum of Agreement signed with the US firm Convalt Energy on 4 June 2026 for Project Kobong is a development framework, and its progression turns on feasibility studies, permitting, financing, regulatory approvals and definitive project agreements that have still to be settled. The M98 billion attached to it is the government's own figure for at least 1,200MW of pumped-storage hydropower and an integrated AI data centre in Mokhotlong District, and it is a project value rather than financing raised. Construction is targeted for the end of the decade, conditional on feasibility work not yet begun, and the Lesotho project company is expected to sit inside a Convalt entity that has not been created. A wider partnership announced alongside the agreement extends to solar generation and battery storage that sit outside the M98 billion and for which no financing arrangement is named.

The same instrument carries the country's AI ambitions. Econet Telecom Lesotho and UNDP signed a memorandum of understanding in Maseru on 28 July 2026, renewing a partnership begun in 2020 and expanded in 2022, covering digital public infrastructure and AI adoption, an innovation and research pillar built around the University Innovation Pod and a proposed National AI Academy, and digital entrepreneurship and AI-enabled business solutions for MSMEs. No commitment amount, term or value is stated for it, and the proposed academy has no named timetable, governance structure, curriculum or host institution.

The ministry's other partnerships are framed the same way: a memorandum of understanding with Vodacom Lesotho underpins its corporate work on digital inclusion (March 2026), and a ministry-to-ministry memorandum with India's Ministry of Electronics and Information Technology covers digital public infrastructure (July 2025).

New investments

The largest external digital commitment actively disbursing in Lesotho is the African Development Bank's eGovernment Infrastructure Phase II project, a commercial loan of XDR 10,110,000 — about USD 14 million on a 2026 conversion — running from 2019 to 2026, and it is the one entry on the record that reaches government digital services directly.

Two external digital commitments are captured for Lesotho, both active and both from multilateral lenders: an African Development Bank loan of about USD 14 million for eGovernment infrastructure from 2019, and a World Bank credit of about USD 12 million for public-sector foundations from 2024. No bilateral donor, export credit agency or development finance institution is recorded. The Kobong agreement with Convalt Energy, put at about USD 6.2 billion in June 2026, is an investment envelope conditional on feasibility and financing, not committed money, and is not counted.

That leaves the money that has actually moved into Lesotho's digital economy coming from operators rather than financiers. Vodacom Lesotho announced a phased network upgrade in March 2026, applying AI across network operations, customer service and human resources, and the Kobong hydropower and AI data-centre scheme remains a proposed project value rather than committed capital, with construction envisaged only from 2029.

ICT Infrastructure

Connectivity

Infrastructure is Lesotho's worst-performing of the sixteen governance sub-categories measured by the Ibrahim Index, at 31.1 of 100 and 39th of 54 African states in 2023, and a decade of movement has come to half a point. The public's own view of infrastructure fell 19.2 points over 2014-2023 to 9.7 of 100. Household internet and computer access and broadband affordability sit at 22.3 of 100 and 42nd of 54 in 2023, and mobile communications, at 67.6 and 28th, is the strongest of the country's infrastructure measures yet has still slipped 1.6 points over the decade.

Coverage is not the constraint. Mobile broadband penetration stood at 69.1% in 2023, 83.1% of people aged 15 and over owned a mobile phone, and roughly half of individuals used the internet. 4G/LTE population coverage was 85.1% in 2024.

Both operators are part-locally held — Econet Telecom Lesotho 70/30 with the government, Vodacom Lesotho 80/20 with the Sekha-Metsi consortium — and both are spending. Econet ran a phased radio-access and transport upgrade across Maseru from May 2025, grew its 5G footprint from 54 to 149 sites on the 700MHz band by June 2025 and launched a fixed-mobile convergence service that July. Vodacom Lesotho committed $40 million, about M700 million, to a phased network upgrade in March 2026.

Every terrestrial route out is a South African one: Lesotho is landlocked and its international gateways run through South Africa to the WACS, EASSy and SEACOM submarine cables. The internet exchange point, founded alongside the EASSy connection in 2010/11, was relaunched on 4 February 2026 with new switching and routing to clear bottlenecks, hosting five internet service providers and two content delivery networks; its public registry record declares 30G of capacity (May 2026). A second path opened by satellite, with the regulator granting a first satellite internet licence in April 2025, retail service arriving through an exclusive local reseller that June and Vodacom adding a managed enterprise satellite service in August 2026.

Data Storage

Lesotho has no operating AI data centre, and the green-powered facility that would be its first was at announcement rather than construction stage in June 2026. The government and Convalt Energy signed a binding memorandum of agreement on 4 June 2026 for Project Kobong, a development framework whose progression depends on feasibility studies, permitting, financing, regulatory approvals and definitive project agreements still to come.

What exists now is small. Commercial hosting runs to small-scale facilities in Maseru (2026), the nearest hyperscale cloud region is across the border in South Africa, where Google sited its first African region in 2022, and a national government data centre remains a commitment in the National Digital Transformation Strategy rather than a facility in service (2024). The government had three data centres of its own by October 2021, when a contract was awarded to assess them for interoperability and bring the Mohale's Hoek facility into operation, and in September 2025 the finance ministry awarded a three-year LSL 35.6m contract to replace end-of-life government data-hosting equipment and build a business-continuity framework.

What local caching there is sits at the internet exchange, which has hosted two content delivery networks since its February 2026 relaunch.

The ICT ministry and the United Nations in Lesotho began drafting a National AI Strategy and a Data Centre Blueprint together at a five-day workshop in Maseru in August 2026.

Energy

Access to energy is one of Lesotho's ten most improved governance measures, up 14.6 points over 2014-2023 to 44.9 of 100, which still leaves it 23rd of 54 African states. Electricity reached 57.3% of the population in 2023, and the national figure hides a wide split: 80.6% of urban households against 37.7% of rural ones in 2021.

Generation is the constraint. Lesotho produces well under half the electricity it consumes and imports the rest, chiefly from South Africa and Mozambique (2024), and what it does generate is almost entirely hydropower. The pumped-storage scheme proposed at Kobong, paired with an AI data centre, would add generation many times the installed base, but it is a development framework rather than a project under construction.

For those connected, supply is steadier than the generation shortfall would imply: firms reported 1.9 electrical outages a month in the World Bank's 2023 Enterprise Survey, fewer than every regional and income-group comparator. Price is the sharper issue, with tariffs effective April 2025 setting the standard domestic rate at M2.08 per kWh and a lifeline rate of M0.93 for qualifying low-consumption households. Off-grid supply is extending under a dedicated mini-grid regulation and donor-backed portfolios.

The effect on digital systems is direct. Health workers using the eRegister name electricity outages and network connectivity as significant operational barriers (2025). Operators carry their own supply, Vodacom Lesotho powering around a quarter of its base stations with solar (June 2026). SADC's target of 85% regional electricity access by 2030 is being approached from a regional rate of 60% in 2025.

Technical Capacity

The professionalism and capability of Lesotho's civil service, as measured by the Ibrahim Index's Effective Administration score, fell 9.2 points over 2014-2023 to 45.4 of 100 and 34th of 54 African states — a decline running against the state's growing dependence on systems it has to operate itself.

The flagship platforms are being built with external partners. The national identity system is being migrated onto the open-source MOSIP platform under a digital ID work plan signed by the ICT ministry with UNICEF (2026), and the same ministry is working with the National University of Lesotho and UNICEF to build X-Road as the government's secure inter-agency data exchange layer, neither platform yet operational (2026).

Oversight capacity is being funded alongside it. The Auditor-General's Strategic Plan 2026-2031, launched on 8 August 2026 and costed at about M339 million, names digitising the office's own business processes among its priorities and commits it to expanded IT-focused specialised audits. The Land Administration Authority put its 2026-2029 strategic planning out to tender in August 2025, with terms of reference naming the adoption of new technology for land registration and cadastral services.

Cybersecurity

Lesotho launched an interim national Computer Security Incident Response Team in August 2026, interim because it operates ahead of the Cybersecurity Bill that would give it statutory powers. That bill was still at stakeholder consultation in September 2026, its second round after a draft circulated in August, with the communications authority designated as the interim response team; the companion Cybercrime Bill, split from the same instrument, was awaiting National Assembly approval as at August 2026.

The gap is not theoretical, and the government has named it itself. It warned the public in August 2025 about AI-generated deepfake videos impersonating King Letsie III and the Prime Minister, with no dedicated cyber law to enforce against them, and the ICT ministry's principal secretary tied rising AI-enabled threats to the stalled bill in January 2026. No cross-government data-sharing legislation is in force either (2024).

Assurance over the systems already running is thin. No comprehensive, independent or recurring security audit or penetration-testing regime covers the national identity system as a whole, whose interface access is controlled by IP whitelisting and passphrases (2020). The country sits in the evolving tier of the ITU Global Cybersecurity Index for 2024.

Specialist skills are largely bought in: a Mauritius-based firm and a local partner ran an executive workshop in Maseru in May 2026 on ransomware, cloud security, data sovereignty and immutable backup, with international vendors supplying the content. Regionally, SADC's Committee of Central Bank Governors approved frameworks on cybersecurity, climate-related financial risk and cross-border crisis management in July 2026.

DPI

Data Exchange

Lesotho has no operational whole-of-government interoperability platform, and the layer meant to become one is still being built: the communications ministry is working with the National University of Lesotho and UNICEF to stand up X-Road as the government's secure inter-agency exchange layer, which was not yet operational in 2026. The design work is being done with the university's Department of Mathematics and Computer Science rather than a commercial vendor, with X-Road, the MOSIP identity platform and a decision-support system treated as one stack (February 2026).

What carries government data in the meantime is a set of point-to-point arrangements around the national identity register, which offered verification to a limited number of public and private bodies, among them banks, mobile network operators and insurers, and was used to check public servants, civil pensioners and social-programme beneficiaries, often through manual data sharing and with no interoperability framework in place (December 2023). Some pairings work: company incorporation details lodged through the One-Stop Business Facilitation Centre are shared automatically with Revenue Services Lesotho, which prints a taxpayer number on the certificate of incorporation itself (2025), and the revenue authority reported in March 2025 that it had integrated with five institutions to verify registration data and automate PAYE compliance, with two more at an advanced stage. Others do not exist: there is no automated link between the revenue authority and the National Identity and Civil Registry (2024), the electoral commission and Home Affairs have not established one between the voters' roll and the identity register (2024), and the social registry's links to identity and birth registration were weak in 2021. At the border the exchange is newer and still unlegislated: the National Single Window, launched in August 2026 under a World Bank-financed project and run by the revenue authority, operates without its own law, whose drafting has only begun (September 2026).

The framework meant to govern this is still in workshops: one opened in August 2025 to develop a Digital Public Infrastructure Framework, and a UNICEF–government session on 1 April 2026 called for interoperability across the identity, civil registration, education and health databases. Across SADC, cross-border identity exchange runs on bilateral deals between financial service providers and registries that an assessment for the Committee of Central Bank Governors calls unmanageable as their number grows, with no shared consent framework and no harmonised eKYC standard (June 2026).

Digital Identity and CRVS

A government freeze on refugee identity cards and travel documents, imposed in July 2025 pending a corruption inquiry into two officials, entered its second year in August 2026 and applies to the whole refugee community rather than to the individuals charged. The statutory position was narrow to begin with: eligibility for a national identity card starts at 16, and among non-citizens only holders of an indefinite residence permit qualify, leaving refugees and asylum seekers outside the national system that UNHCR's separately handed-over PRIMES registration platform, given to Home Affairs in October 2018, was meant to serve.

The mainstream register has run nationwide since July 2013 through 15 fixed enrolment centres and 10 mobile units, taking ten fingerprints and a portrait from every applicant, on cards carrying a 2D barcode rather than a chip. Identity and civil registration are one department working one back-end database, with a single lifetime number carried on the birth certificate, identity card, passport and death certificate. Coverage reached about 85% of the eligible population in 2022, leaving roughly 200,000 adults out, disproportionately in remote rural areas. The card is the sole legally recognised proof of identity under section 16 of the 2011 Act, gating passports, driving licences, welfare, bank accounts and SIM registration; a first card is free, but renewals and replacements carry fees.

The system is now being rebuilt. The ministry and UNICEF signed a work plan on 26 February 2026 to migrate onto the open-source MOSIP platform, Home Affairs held a five-day workshop from 29 June 2026 on a modernisation framework and systems architecture design, and the registry has set a 2026-2030 roadmap for nationwide digital birth registration. Officials from Home Affairs and Police spent four days in Windhoek in July 2026 studying Namibia's integrated civil registration and identity management — electronic birth and death notification, interoperability, vital-statistics production and coordination across agencies — and came away naming integrated digital systems, legal and governance frameworks, in-house technical capacity and inter-agency collaboration as the lessons for Lesotho's own reforms. Enrolment in the new service-identification pilot requires an existing identity document and a registered SIM before biometric capture, and nothing published states how the resulting credential relates to the systems already in place. There is still no operational link to patient records or health insurance (2020), and a person correcting their own record must attend the registry in person, no self-service channel existing.

Digital Payments and Fintech

Mobile money in Lesotho now distributes a regulated investment product: Vodacom Financial Services and STANLIB Lesotho launched Tsetela through the M-Pesa wallet in Maseru on 22 July 2026, taking individuals from M50 and group-savings customers from M300, with balances, daily interest and withdrawals run over USSD on *200#. What separates it from the stokvel and Mokhatlo channels it is pitched against is regulatory rather than technical: a licensed manager, segregated funds, an annual audit and an independent trustee. Vodacom's mobile money arm has itself been split out of the telecoms operator into VCL Financial Services (2026).

The domestic rails underneath are being localised stream by stream. LeSwitch, the Central Bank's national payment switch, piloted instant payments in October 2022, launched in March 2024, added ATM transactions in October 2024 and point-of-sale in May 2025. On 11 May 2025 the central bank and four commercial banks moved local card payments onto it, so a card from any participating bank works on any participating terminal and the transaction clears inside the country, cutting fees paid for international clearing; Visa and Mastercard are kept for cross-border traffic, and wholesale cross-border settlement runs through the SADC real-time gross settlement system rather than any domestic retail rail.

Government payments lag the private ones. A government e-payment gateway was being developed under the African Development Bank's second e-government infrastructure project (December 2023); the working business-to-government rail is the revenue authority's own platform launched on 14 March 2023, extended by a payment gateway with Standard Lesotho Bank on 10 February 2026 covering that one bank. Social assistance is moving from

cash delivered by cash-in-transit firms to mobile payments through selected network operators, with problems in the transition acknowledged (January 2025), after the Child Grants Programme piloted M-Pesa and EcoCash payments, with evaluations putting cash delivery at 1.5 to 7 times the cost of mobile (2021). Two-thirds of adults held a mobile money account in 2021. The Payment Systems Act 2014 still governs, its replacement a bill before Parliament. In September 2026 the gateway was still being developed, now by the Central Bank of Lesotho for integration with the national single window.

Registries

Lesotho's social registry holds data on more than 90% of the country's households (2023), wider reach than any other register in the country. The National Information System for Social Assistance is a web-based registry and management information system built between 2014 and 2016 with UNICEF and EU support, running the Child Grants Programme, bursaries for orphans and vulnerable children, and public assistance. Its connections outward are the weak part: links to the identity and birth registration databases were weak in 2021; since then tablet-based digital birth registration has been integrated with it (June 2025), and a refresh of household data last collected in 2017 was scheduled for December 2025 to March 2026, with World Bank support in eight districts.

Digital birth registration launched under the Ntlafatsa Bana programme in April 2025 with EU and UNICEF funding, and runs on tablets carried by village health workers and civil registration officers, feeding the social assistance database, in selected community councils (2026). In the mountains registration is still predominantly paper, delivered by outreach and constrained by transport (January 2026), and not all vital events are comprehensively digitised nationwide.

The land register is the thinnest of them. A single Land Administration Authority holds registration, cadastre, mapping and surveying, so there is no separate cadastre, and the 2016 census found 20% of households on registered leaseholds, 41% on unregistered certificates of allocation and 39% on neither, sporadic registration since running at roughly 2,200 parcels a year. Leases, bonds and deeds are online through the Landfolio-based Land Administration Online System in business hours (2025), with district offices planned for Berea, Mokhotlong, Qacha's Nek and Thaba-Tseka (August 2025). There is no national address register.

Business registration is the best connected: the Registrar of Companies runs an online registry with free public search, a single window has been deployed at the One-Stop Business Facilitation Centre (November 2025), and incorporation data passes straight to the revenue authority. The electoral register stands apart, with a Voter Registration Strategy endorsed on 28 May 2026 and constituency-readiness assessments underway (June 2026).

Sectoral management information systems

Lesotho's electronic patient register was piloted at four health centres and two hospitals in 2018 as the first stage of a planned rollout across 178 government facilities, and sends facility-level data automatically into the district health information system (2025). It is programme-specific: it covers five programmes, among them tuberculosis, antenatal care and cervical cancer, and paper recording is to be phased out only when it is fully operational nationwide. Health workers report generally positive perceptions of the system, with network outages and power cuts the operational barrier (2025). An AI chest X-ray tool, CAD4TB, is in actual use in tuberculosis screening programmes.

Education is a stage behind. The Ministry of Education and Training began building a national education management information system on DHIS2 in September 2025, covering 4,819 institutions, with core ministry staff trained in March 2026; by mid-2026 the transition reached ministry and district level only, school-level capture remaining entirely on paper, with rural primary schools returning Annual School Census forms that district offices verify and key in by hand over months.

Policing and transport are at the same point. Lesotho launched a police digital transformation policy and strategy alongside an ICT enablement initiative equipping stations for digital incident reporting in April 2026, under which stations across the country are to get desktop computers for case monitoring; road accidents began moving off the manual LMPS 29 form with training of Thaba-Tseka police on the Road Accident Management System in February 2026.

Revenue administration is the most digitised function and the one whose measured performance has fallen furthest: both fiscal administration indicators dropped by around 18 points over 2014-2023, tax and revenue mobilisation to 73.4 of 100 and budgetary and financial management to 44.4. Revenue Services Lesotho registers individuals and businesses under a single taxpayer number used across income tax, customs and excise, and VAT (2023), and invoice-level electronic reporting gained its legal basis in March 2026. The ministry's HIV programme reported 231 facilities reporting through the platform, the reporting rate falling from 97% in January to 95% in September 2025.

Other GovTech and e-Gov

Lesotho began a pilot of a citizen-facing digital service-identification system on 2 April 2026, with roughly 10,000 participants, presented as a testing phase toward wider access to public and private services with less paperwork and shorter queues. No vendor, legal basis or evaluation criteria has been published, so what the pilot is to be judged against is not established (August 2026). It lands on a base with no centralised government portal offering public-facing identity authentication: authentication happens only through agency-to-agency interfaces, with mobile and cross-service authentication targeted as the MOSIP rollout progresses (2026).

The services actually online are mostly the revenue authority's. Taxpayers can file and amend company, individual, trust, VAT and PAYE returns and see real-time balances on the e-filing portal, paying by mobile money or bank channel, though only Standard Lesotho Bank's Unayo posts immediately and payments from other banks need proof of payment uploaded (2025); those platforms went live in 2023. Beyond tax, no government service is operationally integrated into a data exchange platform: business registration, driving licences, passports, education and examination records, health services and agricultural subsidies appear only as services a planned e-payments gateway is intended to cover (2024).

Citizen-facing tools arrive one at a time. The Lehokela crime-reporting application, developed with UNDP, the National University of Lesotho and Econet, was launched nationally in April 2026 after a multi-year pilot, with phased rollout to police stations from June 2026 and most rural stations still working largely on paper. A Digital Outreach Studio opened under Phase II of the African Development Bank-backed e-Government Infrastructure project (June 2026), a phase designed to improve access to reliable digital services for rural and unserved citizens. The UN's 2024 E-Government Survey places Lesotho 145th of 193 countries, and the ease of registering and running a company ranks 43rd of 54 African states (2023).

Digitalisation

Digitalisation of sub-national government

No programme to digitalise the administration of Lesotho's districts and community councils had been established as at September 2026.

Rural digital data capture

Lesotho's Department of Agricultural Research is validating agronomic content for an FAO-backed artificial-intelligence extension chatbot, work carried under project TCP/LES/4002 of the Digital Villages Initiative and pointed at a pilot in Berea and Mafeteng (May 2026). The connectivity such a tool would need is very new. T-Connect

handed over the country's first Starlink-served community hotspots at Matsieng, Thaba Bosiu and Mokhotlong in September 2025, distributing them through the principal chiefs, and extended the same priority connectivity to schools and clinics from Butha-Buthe in January 2026. A National Farmers Portal followed in August 2026.

At the point where rural records are actually made, paper still governs. Rural primary schools record enrolment, attendance and administrative data entirely on paper, on annual census forms sent to district offices for manual verification and entry, and the education management information system now being built on DHIS2 has reached only ministry and district level (2026). Staff at facilities using the electronic patient register kept paper records alongside it (2024), and police stations are to be equipped with desktop computers for case monitoring (2026). Civil registration in the mountain districts depends on transport to move applications between councils and the district office, delivered by officers travelling to registration events.

What is digital is function-specific. An electronic patient register covers five programmes, among them tuberculosis, antenatal care and cervical cancer, and was piloted in 2018 ahead of a planned rollout to 178 government facilities. Tablet-based birth registration operates in selected community councils through village health workers. Thaba-Tseka police began training in February 2026 to record road accidents digitally, and the Lehokela community-policing platform went national in April 2026 with rollout to stations phased from June.

The rural economy these systems serve scores 61.9 of 100 and ranks 27th of 54 African states, up 3.0 points over 2014-2023 on rural economy support, which rose 23.7 points to 68.7 and is the third most improved of Lesotho's 96 indicators (2023). Rural market access moved the other way, falling 11.7 points to 28.3 of 100 and 35th of 54.

Technology

AI

No artificial intelligence or advanced analytics runs inside Lesotho's government data systems for data quality assurance, fraud detection or prediction, and the decision support system meant to let ministries analyse their data for planning and budgeting remains a concept with no timeline, funding or adoption (2026). The policy layer above it is busier: a draft artificial intelligence policy and implementation plan is published, the responsible minister signed an AI policy alongside broadband infrastructure sharing and data management policies in June 2026, and drafting of a national AI strategy and a data centre blueprint began at a Maseru workshop with the United Nations in August 2026, where the deputy prime minister argued that safeguards, infrastructure and human capacity should come before Lesotho scales its AI investment.

What actually operates is narrow, and mostly clinical or agricultural. An AI chest X-ray reader is in use in tuberculosis screening (2025); the Department of Agricultural Research is validating agronomic content for an FAO-backed extension chatbot ahead of a pilot in Berea and Mafeteng (May 2026); and both mobile operators have moved AI into network operations, Econet with its 700MHz 5G expansion (June 2025) and Vodacom in a phased network upgrade (March 2026). MICSTI, UNDP and the National University of Lesotho are compiling a Sesotho word bank so systems can be trained on the language rather than on English-only models (February 2026).

Lesotho's external AI engagement runs well ahead of its domestic capacity. The foreign minister signed the agreement establishing the World Artificial Intelligence Cooperation Organization in Shanghai on 20 July 2026, making Lesotho one of 29 founding members, a fortnight after the country statement to the UN Global Dialogue on AI Governance set out capacity building, AI-ready data and interoperability as the government's position. Training arrives through partners: an AI skills programme with the US Embassy launched in June 2026, and Econet and UNDP

renewed a memorandum covering AI adoption and a proposed national AI academy (July 2026). Compute has not followed: the country has no operating AI data centre, and the facility that would be its first stood at announcement stage (June 2026).

ICT Industry

Both of Lesotho's mobile operators carry local shareholdings — Econet Telecom Lesotho split 70/30 with the government, Vodacom Lesotho 80/20 with the Sekha-Metsi consortium — and the licensing of a wholly foreign-owned satellite operator turned that pattern into a live regulatory argument, with Vodacom appealing the Starlink licence and asking that a local shareholding requirement be imposed on it (April 2025).

The wider setting for firms is poor: Lesotho scores 41.7 of 100 on business and competition regulation and ranks 43rd of 54 African states, despite gaining 5.5 points across 2014-2023 (2023).

Operator investment is the sector's main activity. Econet ran a phased radio-access and transport network upgrade across Maseru under the banner "Re le Utloile" (May 2025) and launched Wi-Fi Plus, combining fixed wireless and mobile access on a single subscription (July 2025), while its financial-services subsidiary migrated the EcoCash mobile-money platform onto a new system with stokvel and burial-society integration, payroll handling and stronger fraud detection (October 2024). Vodacom, the larger of the two, marked thirty years in the market in June 2026. Specialist enterprise skills are largely imported: a Mauritius-based firm and a local partner ran an executive workshop in Maseru on ransomware, cloud security, data sovereignty and immutable backup with four foreign vendors (May 2026).

Innovation ecosystem

Lesotho ranks 132nd of 139 economies in the 2025 Global Innovation Index, and the institutions meant to shift that are recent, small or still being built. The state-backed Lesotho Entrepreneurship Hub and Seed Financing Facility, supported by a World Bank-funded project, targets 500 incubated enterprises by 2028 (2024).

Physical capacity is being added a studio at a time. A Digital Outreach Studio opened under the second phase of the African Development Bank-backed e-government infrastructure project (June 2026), and a second digital studio broke ground at Makoanyane Square in Maseru on 11 June 2026 under the same project and the university innovation pod programme, and is not yet in operation.

Private founders have in places moved faster than the state: Geddit, a digital-address platform assigning building-level codes and GPS pins, operates commercially in Lesotho and drew recognition at the University of Notre Dame's McCloskey New Venture Founders Summit (May 2026).

Capacity

Literacy

A national household survey run by the Lesotho Communications Authority with the Bureau of Statistics, on ITU methodology, put 35.1% of individuals at basic or above-basic ICT skills in 2023, 19.4% at basic level and 15.7% above it. Two thirds of the adult population therefore sit outside the skill floor that any citizen-facing digital service assumes.

Formal schooling is strongest where it is measured by staffing. Human Resources in Education is Lesotho's fourth best-scoring indicator in the Ibrahim Index, at 95.1 of 100 (2023) and seventh of 54 African states after a rise of 17.1 points over 2014-2023. The rest of the picture moves the other way. Equality in Education is one of the country's steepest declines, down 14.2 points over 2014-2023 to 66.4 of 100 (2023), though still tenth of 54. Schooling has

improved at completion but not at entry: Education Completion rose 22.8 points to 60.9 of 100 (2023), 14th of 54, while Education Enrolment fell 3.3 points to 37.3 and 33rd of 54. The Education sub-category as a whole scores 59.3 of 100 (2023), 17th of 54, up 2.9 points over the decade.

The administrative record beneath those scores is still kept by hand: rural primary schools capture enrolment, attendance and administrative data entirely on paper Annual School Census forms, sent to district offices for manual verification and entry, a cycle that can run for months. Schools are meanwhile being connected by satellite, with T-Connect Impact, a Starlink priority-connectivity programme for schools and clinics, launched at Soofia International School in Butha-Buthe in January 2026.

Training and skills

Lesotho's first digital-entrepreneurship and AI-tools training, an AI Skills Development Programme run with the US Embassy and its American Corner, launched in June 2026 under Prime Minister Matekane's Sebabatso initiative. It is the clearest sign that skills provision has moved from policy to delivery: the National Digital Policy 2024-2035 remains the standing national instrument on digital skills training, equitable access and citizen-centred digital government, and until this year most of what sat under it was framework rather than cohort.

The tertiary base is narrow but real. The National University of Lesotho's Faculty of Science and Technology offers BSc degrees in computer science, information systems and electronics, and BEng degrees in computer systems and networks. Beyond the universities, training is largely carried by partnerships and one-off convenings. Vodacom Lesotho has committed to free digital-skills training with Amazon Web Services (August 2025). Econet Telecom Lesotho and UNDP renewed their partnership in Maseru on 28 July 2026, with an innovation and research pillar covering the University Innovation Pod and a proposed National AI Academy — no timetable, governance structure, curriculum or host institution has been named for that academy. Advanced enterprise skills are supplied from outside: a Maseru executive workshop in May 2026, hosted by Mauritius-based DNS Technologies with local partner Computer Business Solutions, covered ransomware, cloud security, data sovereignty and immutable backup.

Public-service training is incremental and district by district. The Ministry of Public Works and Transport began training police in Thaba-Tseka in February 2026 to record road accidents digitally through the Road Accident Management System, replacing the manual LMPS 29 form. Incubation capacity sits alongside it, in the government-backed Lesotho Entrepreneurship Hub and Seed Financing Facility, the National University's Innovation Hub at Roma and Vodacom's Software Factory Hub in Maseru. Accessibility entered the agenda at the inaugural Disability Accessibility Conference of October 2025, which called for investment in accessible technologies.

Research institutions

No SADC member state, Lesotho among them, meets either the regional 1%-of-GDP or the African Union's 1.5%-of-GDP target for research-and-development investment, the SADC Executive Secretary told the Ordinary Council of Ministers in Durban on 12 August 2026. That underfunding shows in Lesotho's placing near the foot of the 2025 Global Innovation Index.

What research capacity exists is concentrated in the National University of Lesotho, and the state is using it directly rather than buying the work in. The Ministry of Communications, Science, Technology and Innovation is designing the country's digital public infrastructure with the university's Department of Mathematics and Computer Science rather than a commercial vendor, treating X-Road for inter-ministry data exchange, MOSIP for biometric digital ID and a Decision Support System for planning and budgeting as one stack (February 2026). The same university supplies the science teaching base, through BSc programmes in computer science, information systems and

electronics and BEng programmes in computer systems and networks. Language resources are being built on the same footing: MICSTI, UNDP and the university are compiling a Sesotho-language word bank to train locally relevant AI systems instead of relying on English-only models (February 2026).

Published domestic AI research is thin and early. A Botho University conference paper of December 2025 proposes a Lesotho-specific AI diagnostic model for tuberculosis, HIV/AIDS and non-communicable disease, at the research and design stage rather than deployment.

Inclusion

Access to services

Lesotho's new digital service credential is built on records the state already holds: enrolment in the pilot requires a valid national identity document and a registered SIM card before biometric registration, so anyone holding neither starts outside it, with no published route in. That exclusion is live rather than theoretical, because the national identity register's coverage is incomplete and those missing from it are concentrated in remote rural areas, because the identity card is the sole legally recognised proof of identity, required for welfare, financial-sector checks and SIM registration alike, and because refugees have been unable to obtain identity or travel documents since a freeze imposed in July 2025.

Disability access has statutory footing and thin delivery behind it. The Persons with Disability Equity Act 2021 establishes a Persons with Disability Advisory Council, gives persons with disabilities a right to receive public information in an accessible format and obliges providers of public telephone services and hosts of public information broadcasts to accommodate them. The visible provision is a single building: a 4G-enabled digital library and Insight Centre with computers, a Braille printer and eye-tracking equipment opened at the State Library in Maseru in March 2026. The country's first Disability Accessibility Conference, convened in October 2025 with the Lesotho National Federation of Organisations of the Disabled, called for investment in accessible technologies.

Equal access to public services scored 55.9 of 100 in 2023, twelfth of 54 African states and 5.1 points up on 2014. The citizen-facing channels are being built branch by branch: the police's Lehokela reporting app launched nationally in April 2026, the Office of the Ombudsman went to market in October 2025 for an electronic complaints management system to replace recording complaints by hand, and the executive's National Contact Centre was inspected before launch in May 2022. Institutional connectivity follows the same piecemeal pattern: T-Connect Impact began Starlink connections for schools and clinics at Soofia International School in Butha-Buthe in January 2026. A Commonwealth Digital Roadshow in Maseru in April 2026 gave gender a dedicated Women in Digital Forum alongside its policy and youth tracks.

Digital divides

Lesotho's digital divide is barely a gender divide: 59.9% of men used the internet against 54.8% of women in 2023, a gap of 5.1 percentage points, with mobile phone ownership separating the sexes by 0.6 points. What divides Basotho is where they live and what they can pay. Most of the rural population was offline in 2025, the rural-urban gap in household electricity access sets a hard floor under how far a connection can reach, and household internet and computer access remains one of the country's weakest measures against African peers. Basic digital skills reach only a minority of individuals, so coverage would not close the gap by itself.

The government attributes the distance between the reach of broadband and the number of people who use it to what people can afford, and the market has answered at the bottom of the price ladder rather than the middle. Econet's Hoa Khonahala campaign, running from October 2025, priced entry data at M10 a day, M25 a week and

M165 for 4GB a month; T-Connect launched Starlink resale in June 2025 with session-based access at M10. The regulator has published its own account of what makes internet service affordable in Lesotho, naming the frameworks in place, what it expects of providers and what is still unresolved.

The institutional response has shifted onto domestic money. The Community Digital Inclusion Model passed from a UNDP-run pilot into full management by the Universal Service Fund in November 2025, and universal and meaningful connectivity is the regulator's leading strategic theme for 2026-2029, financed through that same fund. Village-level provision is arriving commercially in parallel, with the first Starlink community hotspots handed over through the principal chiefs in September 2025.

Data

National statistics

An independent peer review of the national statistical system by the African Union's statistics institute, on mission in August 2025, found Lesotho's National Statistical Council non-operational (December 2025). The Bureau of Statistics Act 2001 remains the operative statistics law, and a fourth Statistics Bill was in drafting at the time of the review, three earlier attempts to replace the Act having not reached enactment (December 2025).

Collection is the stronger half of the system. On the World Bank's Statistical Performance Indicators, a population census, an agricultural census and a business establishment census all fell within the preceding ten years, and three or more household surveys and three or more agricultural surveys were run over the same period, against two health surveys and one labour survey (2023). What that production does not reach is users: the weakest of the five pillars is data services, scoring in the 20-49% band against 70-89% for data use and 50-69% for data products, sources and infrastructure (2023). Lesotho's Capacity of the Statistical System score rose 5.0 points over 2014-2023 to 52.3 of 100, 24th of 54 African states (2023). The seventh population census, with a reference night of 11 April 2026, had finished enumeration by September, with mop-up operations still running in Maseru.

Administrative sources are partly digital. Civil registration and the national identity system are run by one department on a shared back-end database, with a single lifetime identity number carried from birth certificate to death certificate, and birth and death registration modules are connected to the National Identity Register, though vital events are not yet comprehensively digitised nationwide (2021).

Open data

Nothing Lesotho publishes scores well in Open Data Watch's 2024 inventory. Natural resources data is the lowest-scoring assessed category at 2.5 out of ten, with energy and pollution at 3 and agriculture and the built environment at 4 (2024). No economic statistics category exceeds six: balance of payments and money and banking each score 6, prices 5.5, labour 4.5, trade and national accounts 4 and government finance 3.5 (2024). No social category scores above five, with population data at 5, food security and gender 4.5, poverty, education outcomes and reproductive health 4, education and health facilities 3.5 and crime 3 (2024).

Across the 23 categories assessed in that inventory, the median category score is four (2024).

The broader record on access to public information sits at the same level. Disclosure of Public Records scores 35.2 of 100 and Accessibility of Public Records 28.4, 21st and 31st of 54 African states, each up around two points over 2014-2023 (2023), while Accountability & Transparency is the second worst-performing governance sub-category at 37.7 of 100, 28th of 54 and down 5.8 points over the same decade (2023).

Where publication does happen it is sectoral and it is the regulators doing it. The Central Bank of Lesotho puts the rules governing its payment systems online as free downloads requiring no registration or request, and reports payment system performance annually through its statutory annual report and financial stability report, with quarterly monitoring kept internal (2024); audited statements from licensed electronic payment issuers go to the regulator and are not published. Access to the identity register runs the other way, with third-party access granted through unpublished memoranda of understanding and no publicly documented purpose-limitation framework (2021). Persons with disabilities have a statutory right to receive public information in an accessible format.

Use of satellite data

Vodacom Lesotho launched a managed low-earth-orbit satellite service for enterprises on 26 August 2026, built on Starlink and opening a second international path alongside the terrestrial routes through South Africa (August 2026).

That capacity arrived through a contested licensing round. The Lesotho Communications Authority granted the country's first satellite internet licence, a ten-year grant to Starlink, on 14 April 2025. The rights group Section 2 formally opposed the licence because the applicant was wholly foreign-owned, breaking with the country's precedent of requiring Basotho participation in telecommunications operators (March 2025), and Vodacom appealed, asking that a local shareholding requirement be imposed (April 2025). Service began at the end of June 2025 through T-Connect Lesotho, a locally chaired exclusive reseller, amid objections that a foreign entity with no physical address in the country could enable surveillance (July 2025).

The data coming down is a separate question from the bandwidth, and there the framework is absent: officials told a national planning meeting that the country has no policy guiding spatial data, and proposed a National Spatial Development Infrastructure Policy to fill the gap (May 2026).

Geopolitics

US / hyperscaler activities

The largest American proposition on Lesotho's books is a framework rather than money in the ground: a binding memorandum of agreement with the US firm Convalt Energy, signed on 4 June 2026, sets out Project Kobong as a joint renewable energy and digital infrastructure development whose progression depends on feasibility studies, permitting, financing, regulatory approvals and definitive project agreements still to be concluded.

The American presence that actually exists is a satellite one, and it arrived contested. Starlink holds the country's first satellite internet licence, and the rights group Section 2 formally opposed the application because the operator is wholly foreign-owned, breaking Lesotho's precedent of requiring Basotho participation in telecommunications operators. The United States announced a 50% tariff on Lesotho's exports in the same month the licence was decided (April 2025). By the July 2025 launch the objections had moved from ownership to sovereignty, with critics pressing the point that a company holding no physical address in the country would be carrying Basotho traffic.

Alongside that sits a small and cheap instrument of influence. An AI Skills Development Programme run with the US Embassy and its American Corner launched in June 2026 under the Prime Minister's Sebabatso initiative, and is the country's first digital-entrepreneurship and AI-tools training of its kind.

China activities

Lesotho is one of 29 founding member countries of the World Artificial Intelligence Cooperation Organization, whose establishing agreement its Minister of Foreign Affairs signed in Shanghai on 20 July 2026. The signature was carried by the foreign ministry rather than the ICT ministry, which places the membership in Lesotho's diplomatic column ahead of its technology one.

EU activities

Lesotho had no European Union digital-cooperation programme, financing instrument or bilateral agreement in place as at September 2026.

Gulf/UAE activities

No Gulf state or Emirati investment, financing or cooperation agreement touching Lesotho's digital sector was in place as at September 2026.

India activities

India has an instrument in Lesotho that the European Union does not: a ministry-to-ministry memorandum of understanding on digital public infrastructure, signed on 29 July 2025 with India's Ministry of Electronics and Information Technology. Minister Nthati Moorosi signed for Lesotho during a Maseru visit by India's Minister of State for External Affairs, Shri Pabitra Margherita, which puts New Delhi's India Stack offer to Lesotho at the level of a standing ministerial understanding.

Digital sovereignty

Every Lesotho ministry and council runs its finances on an Epicor-based IFMIS in place since 2009, and the finance ministry is upgrading it from Epicor 10.2 to Epicor Kinetic to ensure continued vendor support. Whether the state holds the source code and operating skills for the IFMIS, or can exit its Epicor contract, was not on record as at September 2026. The newer layers are being built differently: the communications ministry is designing X-Road and the open-source MOSIP identity platform with the National University of Lesotho rather than a commercial vendor (February 2026).

The rule on where data sits is written but not public. The January 2025 draft of the Data Management Policy set out to regulate hosting services, prioritise cloud-based solutions for government systems and define rules for cross-border transfers that respect national data sovereignty, was aligned with the AU Data Policy Framework at a validation workshop in October 2025, and was signed by the minister in June 2026, with no publication or commencement date stated (August 2026).

The communications minister credited a UN-India fund's upgrade of the state's high-performance computing with laying the foundation for Lesotho to host, process and govern its own digital public infrastructure, while pitching the country to hyperscalers as a data-centre destination (May 2026). The terms on which the Convalt Energy agreement for the Kobong AI data centre governs data jurisdiction, portability and exit had not been published as at September 2026.

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